BUSINESS ENVIRONMENT AND BUSINESS ETHICS

Unit 3 – Multiple Choice Question Bank (200 MCQs)

BBA | Moderate Difficulty | Answer Key at the End

Syllabus: Ethical codes used in business and their relevance – promoting honesty, integrity, fairness, environmental sustainability, community engagement, rights and transparency in business conduct.

Instructions: Each question has four options (A–D) with only one correct answer. Choose the best option. Answers are given in the Answer Key on the last pages.

Name: _____ Roll No.: _____ Date: _____

Section A: Ethical Codes and Their Relevance in Business (30 questions)

1.A code of ethics is

(A)A list of tax rules
(B)A government licence
(C)A formal statement of an organisation's values and principles that guide conduct
(D)A financial statement

2.Compared with a code of ethics, a code of conduct generally

(A)States only broad values
(B)Is issued by the government for all firms
(C)Specifies detailed rules on expected behaviour and actions
(D)Applies only to shareholders

3.The primary purpose of a code of ethics is to

(A)Increase taxes
(B)Guide employees' decisions and behaviour
(C)Reduce competition
(D)Limit customer choice

4.Ethical codes help a business mainly by building

(A)Trust among stakeholders
(B)A monopoly
(C)Legal immunity
(D)Higher prices

5.A code stressing strict rule-following and penalties for violations is called a

(A)Value-based code
(B)Aspirational slogan
(C)Compliance-based code
(D)Marketing code

6.The Institute of Chartered Accountants of India issues a Code of Ethics for its

(A)Customers only
(B)Suppliers
(C)Members
(D)Competitors

7.The Tata Code of Conduct applies to

(A)Only Tata customers
(B)Only government employees
(C)Only Tata shareholders
(D)Tata group companies and their employees

8.Infosys' core values, summarised as C-LIFE, include

(A)Secrecy
(B)Cost cutting only
(C)Integrity and transparency
(D)Speed only

9.The Johnson & Johnson Credo places first responsibility towards

(A)Shareholders
(B)The government
(C)Doctors, nurses, patients and the parents who use its products
(D)Competitors

10.J&J's 1982 recall of Tylenol after tampering deaths is a classic example of

(A)Ignoring public safety
(B)Price cutting
(C)Tax avoidance
(D)Putting ethical values above short-term profit

11.The Volkswagen "Dieselgate" scandal of 2015 involved

(A)Child labour
(B)Tax evasion
(C)Cheating emission tests using defeat devices
(D)Insider trading

12.Enron's collapse showed that a written code of ethics is ineffective unless

(A)It is printed in colour
(B)It is very short
(C)It is kept secret
(D)Top management actually follows it

13.Which of the following is typically included in a code of ethics?

(A)Dividend rate
(B)Product price list
(C)Conflict of interest policy
(D)Sales targets

14.For a code of ethics to be effective, it should be

(A)Kept confidential
(B)Applied only to junior staff
(C)Communicated, enforced and reviewed regularly
(D)Changed daily

15.The example set by senior management on ethical behaviour is known as the

(A)Span of control
(B)Tone at the top
(C)Chain of command
(D)Unity of command

16.An ethics officer is mainly responsible for

(A)Preparing balance sheets
(B)Selling products
(C)Recruiting drivers
(D)Overseeing ethics programmes and handling ethical complaints

17.Ethical codes often

(A)Replace laws
(B)Contradict laws

(C)Apply only where there are no laws
(D)Go beyond minimum legal requirements

18.The Companies Act, 2013 prescribes a Code for Independent Directors in

(A)Schedule VII
(B)Schedule IV
(C)Schedule II
(D)Schedule I

19.Under Section 177 of the Companies Act, 2013, specified companies must establish a

(A)Sports club
(B)Vigil mechanism to report genuine concerns
(C)Pension fund
(D)Staff canteen

20.A whistle-blower policy is intended to

(A)Punish all complainants
(B)Hide wrongdoing
(C)Reduce audits
(D)Allow reporting of unethical practices without fear of retaliation

21.Utilitarianism judges an action by

(A)Duty alone
(B)The greatest good for the greatest number
(C)Personal virtue
(D)Legal compliance only

22.Kantian (deontological) ethics is based on

(A)Duty and universal moral rules
(B)Consequences
(C)Profit
(D)Local culture

23.Virtue ethics, associated with Aristotle, focuses on

(A)Consequences only
(B)Character and moral virtues
(C)Rules only
(D)Profits

24.John Rawls' theory of justice as fairness uses the idea of the

(A)Invisible hand
(B)Iron law of wages
(C)Social contract of profit
(D)Veil of ignorance

25.A rights-based approach to ethics holds that

(A)Only the majority matters
(B)Only profits matter
(C)Law is irrelevant
(D)Individuals have basic rights that must be respected

26.Ethical relativism holds that morality

(A)Depends on culture and context
(B)Is universal
(C)Is fixed by law
(D)Does not exist

27.ISO 26000 provides guidance on

(A)Quality management
(B)Food safety
(C)Information security
(D)Social responsibility

28.The UN Global Compact, launched in 2000, asks companies to follow ___ principles on human rights, labour, environment and anti-corruption.

(A)Five
(B)Seven
(C)Twelve
(D)Ten

29.The National Guidelines on Responsible Business Conduct (2019) issued by India's Ministry of Corporate Affairs contain ___ principles.

(A)Nine
(B)Five
(C)Seven
(D)Twelve

30.The OECD Guidelines for Multinational Enterprises are

(A)Binding criminal law
(B)Tax treaties
(C)Trade tariffs
(D)Voluntary recommendations for responsible business conduct

Section B: Promoting Honesty and Integrity (30 questions)

31.Honesty in business means

(A)Maximising sales
(B)Being truthful and not deceiving stakeholders
(C)Keeping all information secret
(D)Following orders blindly

32.Integrity means

(A)Obeying superiors only
(B)Consistency between one's values, words and actions
(C)Maximising profit
(D)Avoiding competition

33.Which of the following is a violation of honesty?

(A)Concealing a known defect in a product from customers
(B)Recalling a defective product
(C)Publishing accurate accounts
(D)Giving a genuine warranty

34.Advertising claims should be

(A)Exaggerated
(B)Hidden
(C)Truthful and substantiated
(D)Secret

35.Manipulating accounts to show a better financial position than the true one is called

(A)Window dressing
(B)Auditing
(C)Budgeting
(D)Depreciation

36.Insider trading violates

(A)Only tax law
(B)Only HR policy
(C)No rule
(D)Fairness and integrity in securities markets

37.A conflict of interest arises when

(A)Two departments disagree
(B)Personal interests clash with professional duties
(C)Prices fall
(D)A firm makes a loss

38.Accepting expensive gifts from a supplier can compromise

(A)Delivery time
(B)The objectivity and integrity of a decision
(C)Packaging quality
(D)Employee tax

39.Offering money to an official to obtain an undue advantage is

(A)Commission
(B)Rebate
(C)Bribery
(D)Subsidy

40.A "speed money" payment to an official to get a routine task done faster is generally

(A)Treated as bribery and unethical
(B)A legal fee
(C)A CSR expense
(D)A trade discount

41.The 2018 amendment to the Prevention of Corruption Act, 1988 made

(A)Taking a bribe legal
(B)Giving a bribe also an offence
(C)Gifts compulsory
(D)Audits optional

42.The US Foreign Corrupt Practices Act, 1977 prohibits

(A)Foreign trade
(B)Foreign travel
(C)Bribing foreign officials
(D)Foreign exchange dealing

43.Using another firm's trade secrets without permission violates

(A)Only tax rules
(B)Honesty and respect for intellectual property
(C)Nothing
(D)Only HR policy

44.An employee passing the firm's confidential data to a competitor breaches

(A)No duty
(B)Only a tax rule
(C)Only a safety rule
(D)The duty of confidentiality and loyalty

45.Accurate labelling of ingredients on food packs is an example of

(A)Truthful disclosure to consumers
(B)Price discrimination

(C)Market segmentation
(D)Cost cutting

46.Giving employees accurate information about pay and job conditions reflects

(A)Cost control
(B)Tax planning
(C)Honest dealing with employees
(D)Market research

47.Paying suppliers on agreed terms and on time reflects

(A)Integrity in business dealings
(B)Tax evasion
(C)Price cutting
(D)Poor cash management

48.Filing correct tax returns reflects

(A)Tax avoidance
(B)Tax evasion
(C)Loss of profit
(D)Integrity towards the government

49.An auditor's report must be

(A)Approved by management first
(B)Hidden from shareholders
(C)Altered to please management
(D)Independent and truthful

50.Auditor independence is essential to ensure

(A)Higher audit fees
(B)Objectivity and credibility of the audit
(C)Lower taxes
(D)Faster closing of books

51.Standing up for what is right despite pressure is called

(A)Risk aversion
(B)Blind obedience
(C)Greed
(D)Moral courage

52.Saying "everyone does it" to justify wrongdoing is an example of

(A)Rationalisation of unethical behaviour
(B)Ethical leadership
(C)Whistle blowing
(D)Audit

53.A firm known for integrity gains

(A)Instant monopoly
(B)Long-term trust and reputation
(C)Freedom from audits
(D)Immunity from law

54.The "fraud triangle" consists of pressure, opportunity and

(A)Profit
(B)Audit
(C)Rationalisation
(D)Legislation

55.Financial statements are required to give a

(A)Optimistic view
(B)Pessimistic view
(C)True and fair view
(D)Confidential view

56.Misrepresenting one's qualifications in a job application breaches

(A)Honesty
(B)Only company rules on dress
(C)Only tax law
(D)Nothing

57.Charging hidden fees not disclosed upfront is

(A)Fair pricing
(B)A dishonest and unfair practice
(C)Honest billing
(D)A discount

58.Creative accounting to hide losses is mainly a failure of

(A)Marketing
(B)Honesty and transparency
(C)Production
(D)Logistics

59.The "newspaper test" in ethical decision-making asks whether a decision

(A)Is the most profitable
(B)Is the fastest
(C)Would be acceptable if reported publicly
(D)Is the cheapest

60.A manager who consistently tells the truth even when it is costly shows

(A)Integrity
(B)Weakness
(C)Poor strategy
(D)Disloyalty

Section C: Promoting Fairness (30 questions)

61.Fairness in business means

(A)Equal profits for all
(B)The lowest price always
(C)Favouring friends
(D)Impartial and just treatment of all stakeholders

62.Fair competition means competing

(A)By any means
(B)By hiding information
(C)Without deception, collusion or abuse of power
(D)By bribing officials

63.Hiring on merit without discrimination on gender, caste or religion reflects

(A)Nepotism
(B)Fairness
(C)Favouritism
(D)Bias

64.The principle of equal pay for equal work for men and women is found in Article ___ of the Indian Constitution.

(A)39(d)
(B)14 only
(C)21A
(D)370

65.The Code on Wages, 2019 deals with

(A)Environmental clearance
(B)Consumer rights
(C)Minimum wages, payment of wages and bonus
(D)Stock exchange rules

66.Paying less than the legal minimum wage is

(A)Fair
(B)Ethical
(C)Unfair and illegal
(D)Permissible by custom

67.Rejecting a qualified candidate because of gender is

(A)Selection on merit
(B)A fair practice
(C)A legal requirement
(D)Discrimination

68.Invisible barriers that prevent women or minorities from reaching top positions are called the

(A)Glass ceiling
(B)Price ceiling
(C)Credit ceiling
(D)Tax ceiling

69.The POSH Act, 2013 requires organisations with 10 or more employees to set up an

(A)Audit Committee
(B)Risk Committee
(C)Nomination Committee
(D)Internal Complaints Committee

70.Fair pricing means

(A)Charging the highest possible price
(B)Charging below cost
(C)Changing prices daily
(D)Charging a reasonable price without exploiting consumers

71.Raising prices sharply during an emergency to exploit buyers is called

(A)Discounting
(B)Price gouging
(C)Price skimming
(D)Bundling

72.The fair trade movement aims to

(A)Give producers in developing countries a fair price
(B)Raise import duties
(C)Ban exports
(D)Remove all labour laws

73.Under the MSMED Act, 2006, buyers must pay micro and small enterprise suppliers within a maximum of

(A)120 days
(B)1 year

(C)10 days
(D)45 days

74.Distributive justice is concerned with

(A)Fair punishment
(B)Fair procedures only
(C)Fair allocation of benefits and burdens
(D)Fair advertising

75.Procedural justice means

(A)Giving equal pay
(B)Punishing offenders
(C)Using fair processes in making decisions
(D)Paying taxes

76.Retributive justice deals with

(A)Fair punishment for wrongdoing
(B)Fair allocation of rewards
(C)Fair procedures
(D)Fair prices

77."Audi alteram partem" means

(A)Hear the other side
(B)Let the buyer beware
(C)Equal pay
(D)Free trade

78.A performance appraisal is fair when it is

(A)Based on personal liking
(B)Kept secret
(C)Objective, transparent and based on job criteria
(D)Based on gossip

79.Minority shareholders should be treated

(A)As having no rights
(B)Worse than majority shareholders
(C)As employees
(D)Equitably along with majority shareholders

80.Equity differs from equality in that equity means

(A)Giving everyone exactly the same
(B)Giving each what is fair according to need or contribution
(C)Charging a uniform price
(D)Maximising profits

81.The Rights of Persons with Disabilities Act, 2016 requires establishments to provide

(A)Equal opportunity and reasonable accommodation
(B)Free products
(C)Tax exemption
(D)Longer working hours

82.Favouring relatives in hiring regardless of merit is

(A)Meritocracy
(B)Fair selection
(C)Nepotism
(D)Equal opportunity

83.Price-fixing cartels and predatory pricing are unfair because they

(A)Help consumers
(B)Harm competition and consumers
(C)Lower prices permanently
(D)Improve quality

84.Fair competition in India is promoted by the

(A)Competition Commission of India
(B)Reserve Bank of India
(C)Bureau of Indian Standards
(D)Central Pollution Control Board

85.Dismissing employees for joining a trade union is an

(A)Fair labour practice
(B)Management right
(C)Legal necessity
(D)Unfair labour practice

86.A fair contract should have

(A)Hidden clauses
(B)Free consent and clear terms
(C)One-sided penalties
(D)Verbal terms only

87.Advertising to children should avoid

(A)Colour
(B)Exploiting their lack of judgement
(C)Music
(D)Honesty

88.Using customers' data only for the purposes stated reflects

(A)Fairness and respect for privacy
(B)Poor marketing
(C)Weak control
(D)Cost saving

89.Terminating an employee fairly requires

(A)Notice and an opportunity to be heard
(B)Instant dismissal without reason
(C)Secret decision
(D)Verbal warning only

90.Giving a supplier a contract because of its quality, price and delivery record is an example of

(A)Favouritism
(B)Corruption
(C)Nepotism
(D)Fair and merit-based selection

Section D: Promoting Environmental Sustainability (30 questions)

91.Sustainability in business means

(A)Maximising short-term profit
(B)Ignoring the environment
(C)Meeting present needs without compromising the needs of future generations
(D)Avoiding all production

92.The "Triple Bottom Line" refers to

(A)Price, Place and Promotion

(B)People, Planet and Profit
(C)Plan, Policy and Procedure
(D)Power, Prestige and Position

93.ESG stands for

(A)Economic, Social and Growth
(B)Ethical, Strategic and Global
(C)Energy, Sales and Growth
(D)Environmental, Social and Governance

94.A circular economy aims to

(A)Dispose of products after one use
(B)Increase waste
(C)Reduce recycling
(D)Keep resources in use through reuse, repair and recycling

95.The 3Rs of waste management are

(A)Refuse, Return, Resell
(B)Reduce, Reuse, Recycle
(C)Repair, Rent, Replace
(D)Reduce, Resell, Retain

96.Carbon neutrality means

(A)Emitting no goods
(B)Using only coal
(C)Ignoring emissions
(D)Balancing emitted carbon with an equal amount removed or offset

97.India has announced a target of net-zero emissions by

(A)2030
(B)2070
(C)2040
(D)2100

98.Solar and wind power are examples of

(A)Fossil fuels
(B)Nuclear fuels
(C)Renewable energy
(D)Non-renewable energy

99.Greenwashing means

(A)Making misleading claims about environmental benefits
(B)Cleaning factories
(C)Planting trees
(D)Recycling paper

100.ISO 14001 is a standard for

(A)Quality management
(B)Food safety
(C)Occupational health
(D)Environmental management systems

101.A green audit is

(A)A financial audit
(B)A tax audit
(C)A systematic review of a firm's environmental performance
(D)A cost audit

102.Replacing single-use plastic packaging with biodegradable material reflects

(A)Cost increase only
(B)Marketing gimmick
(C)Legal evasion
(D)Environmental sustainability

103.Rainwater harvesting in a factory campus is an example of

(A)Energy theft
(B)Water conservation
(C)Waste generation
(D)Air pollution

104.A "zero waste" approach aims to

(A)Increase landfill
(B)Send no waste to landfill by reusing and recycling
(C)Burn all waste
(D)Ignore waste

105.Sustainable sourcing means buying materials from suppliers who

(A)Follow environmental and labour standards
(B)Offer the lowest price only
(C)Are nearest only
(D)Are largest only

106.The UN Sustainable Development Goals adopted in 2015 number

(A)10
(B)17
(C)12
(D)25

107.SDG 12 relates to

(A)Climate action
(B)Quality education
(C)Clean water
(D)Responsible consumption and production

108.SDG 13 relates to

(A)Zero hunger
(B)Good health
(C)Climate action
(D)Gender equality

109.Environmental Impact Assessment is conducted

(A)Before a project is approved
(B)After a project closes
(C)Only for small shops
(D)Only for banks

110.Extended Producer Responsibility makes producers responsible for

(A)Collecting and safely disposing of post-consumer waste
(B)Paying employees
(C)Filing tax returns
(D)Advertising

111.SEBI's Business Responsibility and Sustainability Report (BRSR) requires listed companies to disclose

(A)Only profits
(B)Only dividends

(C)Environmental, social and governance performance
(D)Only share prices

112.The Global Reporting Initiative provides standards for

(A)Cost accounting
(B)Tax filing
(C)Stock trading
(D)Sustainability reporting

113.A carbon footprint measures

(A)Number of employees
(B)Plant area
(C)Total greenhouse gas emissions caused by an activity or organisation
(D)Sales volume

114.Using LED lighting and energy-efficient machines is an example of

(A)Higher costs
(B)Waste creation
(C)Energy efficiency
(D)Pollution

115.Ecomark is an Indian label for

(A)Imported goods
(B)Luxury goods
(C)Defence goods
(D)Environment-friendly products

116.Protecting biodiversity means

(A)Conserving the variety of plant and animal life
(B)Clearing forests
(C)Hunting
(D)Mining

117.Designing products to become obsolete quickly so consumers buy again is called

(A)Sustainable design
(B)Circular design
(C)Planned obsolescence
(D)Eco-design

118.The "polluter pays" principle holds that

(A)The government pays
(B)Consumers pay
(C)The party causing pollution should bear the cost of damage
(D)Nobody pays

119.The Paris Agreement of 2015 deals with

(A)Climate change
(B)Trade tariffs
(C)Nuclear weapons
(D)Child labour

120.Sustainable practices benefit firms through

(A)Cost savings and improved reputation
(B)Higher pollution
(C)Legal penalties
(D)Loss of customers

Section E: Community Engagement (25 questions)

121.Community engagement means

(A)Ignoring local people
(B)Advertising only
(C)Active involvement of a business in the welfare and development of the local community
(D)Selling to government

122.The informal acceptance of a company's operations by the local community is called its

(A)Social licence to operate
(B)Trade licence
(C)Import licence
(D)Patent

123.Under Section 135 of the Companies Act, qualifying companies must spend at least ___ of average net profit on CSR.

(A)2%
(B)1%
(C)5%
(D)10%

124.Schedule VII of the Companies Act, 2013 lists

(A)Qualifications of auditors
(B)Forms of accounts
(C)Directors' duties
(D)Activities eligible for CSR spending

125.Employees giving their time to community projects is called

(A)Overtime
(B)Employee volunteering
(C)Outsourcing
(D)Job rotation

126.Hiring and sourcing locally helps the community by

(A)Creating local employment and income
(B)Reducing local jobs
(C)Raising prices
(D)Closing local shops

127.Training unemployed youth in job skills is an example of

(A)Skill development as community engagement
(B)Cost cutting
(C)Tax planning
(D)Price fixing

128.Organising free health camps for villagers is an example of

(A)Marketing research
(B)Product testing
(C)Tax saving
(D)Community healthcare engagement

129.Funding scholarships for poor students is an example of

(A)Cost cutting
(B)Price discrimination
(C)Tax evasion
(D)Support for education

130.Donating funds and relief material after a flood is an example of

(A)Advertising
(B)Cost control
(C)Disaster relief support
(D)Price fixing

131.Consulting local people before starting a factory reflects

(A)Poor planning
(B)Stakeholder consultation
(C)Legal evasion
(D)Cost increase

132.Fair compensation and rehabilitation for people displaced by a project reflects

(A)Cost cutting
(B)Tax planning
(C)Lobbying
(D)Social responsibility towards the community

133.A Social Impact Assessment studies

(A)Stock price movements
(B)Tax liability
(C)Competitors' prices
(D)The likely effects of a project on the community

134.Philanthropy aligned with business goals and community needs is called

(A)Strategic philanthropy
(B)Random donation
(C)Tax donation
(D)Political donation

135.Linking product sales to a donation for a social cause is called

(A)Price skimming
(B)Cause-related marketing
(C)Direct selling
(D)Telemarketing

136.Partnering with NGOs helps companies by

(A)Avoiding community work
(B)Raising prices
(C)Cutting jobs
(D)Bringing local expertise to community projects

137.Effective stakeholder engagement with a community should be

(A)One-time and one-way
(B)Secret
(C)Occasional advertising
(D)Continuous and two-way

138.Supporting self-help groups of rural women is an example of

(A)Women empowerment and livelihood support
(B)Cost control
(C)Price control
(D)Tax planning

139.Which of the following is a valid CSR activity under Schedule VII?

(A)Donation to a political party
(B)Promoting gender equality and empowering women
(C)Employee party

(D)Product advertisement

140.Which of the following is NOT a valid CSR expenditure?

(A)Rural development projects
(B)Tree plantation
(C)Contribution to a political party
(D)Health camps

141.Companies with an average CSR obligation of Rs 10 crore or more must conduct impact assessment of projects with an outlay of at least

(A)Rs 10 lakh
(B)Rs 10 crore
(C)Rs 50 crore
(D)Rs 1 crore

142.A key benefit of community engagement for a firm is

(A)Immunity from law
(B)Zero costs
(C)Monopoly power
(D)Goodwill and social acceptance

143.Ignoring local community protests against a project can lead to

(A)Higher profits
(B)Better goodwill
(C)Project delays and reputational damage
(D)Lower costs

144.Respecting local culture and customs while operating in a region reflects

(A)Weak management
(B)Cultural sensitivity
(C)Cost increase
(D)Legal evasion

145.Publishing a CSR report on community projects reflects

(A)Transparency and accountability
(B)Secrecy
(C)Tax planning
(D)Advertising only

Section F: Rights in Business Conduct (30 questions)

146.The Universal Declaration of Human Rights was adopted in

(A)1948
(B)1919
(C)1966
(D)2000

147.The UN Guiding Principles on Business and Human Rights (2011) are built on the framework of

(A)Plan, Do and Check
(B)Protect, Respect and Remedy
(C)Buy, Hold and Sell
(D)Hire, Train and Retain

148.Human rights due diligence by a company means

(A)Identifying and addressing its impact on human rights
(B)Auditing profit only
(C)Checking taxes only

(D)Ignoring suppliers

149.Employees' right to safe working conditions in factories in India was traditionally protected by the

(A)Competition Act, 2002
(B)SEBI Act, 1992
(C)Factories Act, 1948
(D)FEMA, 1999

150.The right to form trade unions in India is recognised under the

(A)Companies Act
(B)Competition Act
(C)Trade Unions Act, 1926
(D)Consumer Protection Act

151.Collective bargaining is

(A)Bargaining with customers
(B)Negotiation between employers and workers' representatives
(C)Negotiation with suppliers
(D)Government price fixing

152.Employment of children below ___ years in any occupation is prohibited in India.

(A)14
(B)10
(C)12
(D)16

153.Bonded labour in India was abolished by the

(A)Bonded Labour System (Abolition) Act, 1976
(B)Factories Act
(C)Trade Unions Act
(D)Companies Act

154.The Maternity Benefit Act, 1961, as amended in 2017, provides paid maternity leave of ___ weeks for the first two children.

(A)12
(B)16
(C)26
(D)20

155.The Equal Remuneration principle requires

(A)Equal pay for men and women for the same or similar work
(B)Equal profits for all firms
(C)Equal prices
(D)Equal taxes

156.In the 2017 Puttaswamy case, the Supreme Court of India held that the right to privacy is

(A)A fundamental right
(B)Not a right
(C)A purely statutory right
(D)Only a corporate right

157.The Digital Personal Data Protection Act, 2023 regulates

(A)Stock market trading
(B)Labour disputes
(C)Environmental clearance
(D)Processing of digital personal data

158.The number of consumer rights listed in the Consumer Protection Act, 2019 is

(A)Four
(B)Six
(C)Five
(D)Eight

159.The consumer's right to be informed is best protected by

(A)Accurate labelling and disclosure
(B)Higher prices
(C)Secret formulae
(D)Fewer products

160.A shareholder's key right is the right to

(A)Manage daily operations
(B)Fix product prices
(C)Vote on important company matters
(D)Appoint all employees

161.A company must pay a declared dividend to

(A)Only directors
(B)Only employees
(C)Only creditors
(D)Eligible shareholders

162.Shareholders have a right to receive

(A)Employee salary data
(B)Competitors' secrets
(C)Material information about the company's performance
(D)Customers' private data

163.Protection of minority shareholders is aimed at

(A)Helping majority shareholders
(B)Preventing oppression by majority shareholders
(C)Closing companies
(D)Reducing dividends

164.Patents protect

(A)Brand names
(B)Inventions
(C)Books
(D)Company names

165.The Patents Act in India was enacted in

(A)1970
(B)1957
(C)1999
(D)2005

166.The Copyright Act, 1957 protects

(A)Inventions
(B)Brand names
(C)Original literary, artistic and musical works
(D)Company registration

167.A trademark protects

(A)Inventions
(B)Books
(C)Brand names, logos and symbols identifying goods

(D)Land

168.An employee's right to receive wages on time is protected by labour law as the right to

(A)Free meals
(B)Timely payment of wages
(C)Free housing
(D)Free transport

169.Employees have the right to work free from

(A)Competition
(B)Training
(C)Harassment and discrimination
(D)Promotion

170.Workers' right to reasonable working hours and rest is protected through

(A)Advertising codes
(B)Stock market rules
(C)Tax law
(D)Labour laws on working hours

171.Employees' right to know about workplace hazards is part of

(A)Occupational health and safety
(B)Marketing
(C)Taxation
(D)Logistics

172.The Right to Information Act, 2005 mainly applies to

(A)Private clubs
(B)Public authorities
(C)Individuals
(D)Foreign firms

173.Small suppliers' right to timely payment is protected under the

(A)Factories Act
(B)MSMED Act, 2006
(C)Trade Marks Act
(D)Copyright Act

174.The Forest Rights Act, 2006 recognises the rights of

(A)Mining firms
(B)Timber merchants
(C)Forest-dwelling tribal and other communities
(D)Foreign investors

175.In ethics, one party's right generally corresponds to

(A)Another party's profit
(B)Another party's duty
(C)Another party's tax
(D)No one's duty

Section G: Transparency in Business Conduct (25 questions)

176.Transparency in business means

(A)Hiding losses
(B)Openness in disclosing relevant information to stakeholders
(C)Secret pricing
(D)Avoiding audits

177.A company's annual report is a major tool of

(A)Transparency and disclosure
(B)Secrecy
(C)Advertising only
(D)Price fixing

178.SEBI's Listing Obligations and Disclosure Requirements (LODR) Regulations, 2015 govern

(A)Customs duty
(B)Disclosures by listed companies
(C)Factory safety
(D)Consumer complaints

179.The Audit Committee of the board mainly oversees

(A)Financial reporting and internal controls
(B)Product design
(C)Sales promotion
(D)Recruitment

180.Independent directors help governance by

(A)Managing day-to-day operations
(B)Bringing objective and unbiased judgement to the board
(C)Owning the company
(D)Setting prices

181.Related party transactions must be

(A)Hidden
(B)Disclosed and approved as per law
(C)Ignored
(D)Treated as private

182.Price-sensitive information must be disclosed promptly to

(A)Stock exchanges
(B)Competitors
(C)Only the promoters
(D)Only employees

183.Trading by insiders on unpublished price-sensitive information is regulated by

(A)BIS
(B)SEBI
(C)CPCB
(D)DGFT

184.A whistle-blower mechanism supports transparency by

(A)Silencing employees
(B)Hiding data
(C)Reducing audits
(D)Allowing concerns to be raised safely

185.Internal controls help ensure

(A)Accurate records and prevention of fraud
(B)Higher prices
(C)More advertising
(D)Lower wages

186.A statutory audit gives shareholders

(A)A guarantee of profit
(B)Management's secrets

(C)Tax refunds
(D)Independent assurance on financial statements

187.Accountability means

(A)Avoiding blame
(B)Maximising profit
(C)Being answerable for one's actions and decisions
(D)Reducing taxes

188.Disclosing CSR policy and spending in the Board's Report is an example of

(A)Secrecy
(B)Tax planning
(C)Transparency in social responsibility
(D)Advertising

189.The BRSR requires listed companies to report on

(A)Only profits
(B)Environmental, social and governance performance
(C)Only sales
(D)Only dividends

190.An integrated report combines

(A)Only taxes
(B)Only sales
(C)Financial and non-financial performance
(D)Only costs

191.The Right to Information Act, 2005 promotes transparency in

(A)Private homes
(B)Public authorities
(C)Foreign firms
(D)Private clubs

192.Open communication with employees about company performance builds

(A)Confusion
(B)Trust and commitment
(C)Resistance
(D)Secrecy

193.Clear labelling of price, ingredients and expiry date reflects

(A)Secrecy
(B)Price discrimination
(C)Cost cutting
(D)Transparency towards consumers

194.Showing the full price including all charges upfront reflects

(A)Pricing transparency
(B)Dark patterns
(C)Hidden fees
(D)Price gouging

195.Disclosing a conflict of interest to the board reflects

(A)Weakness
(B)Poor judgement
(C)Transparency and integrity
(D)Disloyalty

196.Corporate governance is best described as

(A)Government control of firms
(B)A marketing strategy
(C)The system by which companies are directed and controlled
(D)A tax method

197.The Cadbury Committee of 1992 was a landmark committee on

(A)Consumer protection
(B)Environmental law
(C)Labour law
(D)Corporate governance in the UK

198.The first SEBI-appointed committee on corporate governance in India was chaired by

(A)Narayana Murthy
(B)Uday Kotak
(C)Ratan Tata
(D)Kumar Mangalam Birla

199.A lack of transparency in a firm's dealings is likely to lead to

(A)Mistrust and higher risk of fraud
(B)Greater trust
(C)Lower risk
(D)Better reputation

200.Sharing information with stakeholders honestly, even when results are poor, shows

(A)Weakness
(B)Poor strategy
(C)Disloyalty
(D)Transparency and integrity

ANSWER KEY

Business Environment and Business Ethics – Unit 3 (Questions 1–200)

Section A: Ethical Codes and Their Relevance in Business (Q1–Q30)									
1. **C**	2. **C**	3. **B**	4. **A**	5. **C**	6. **C**	7. **D**	8. **C**	9. **C**	10. **D**
11. **C**	12. **D**	13. **C**	14. **C**	15. **B**	16. **D**	17. **D**	18. **B**	19. **B**	20. **D**
21. **B**	22. **A**	23. **B**	24. **D**	25. **D**	26. **A**	27. **D**	28. **D**	29. **A**	30. **D**
Section B: Promoting Honesty and Integrity (Q31–Q60)									
31. **B**	32. **B**	33. **A**	34. **C**	35. **A**	36. **D**	37. **B**	38. **B**	39. **C**	40. **A**
41. **B**	42. **C**	43. **B**	44. **D**	45. **A**	46. **C**	47. **A**	48. **D**	49. **D**	50. **B**
51. **D**	52. **A**	53. **B**	54. **C**	55. **C**	56. **A**	57. **B**	58. **B**	59. **C**	60. **A**
Section C: Promoting Fairness (Q61–Q90)									
61. **D**	62. **C**	63. **B**	64. **A**	65. **C**	66. **C**	67. **D**	68. **A**	69. **D**	70. **D**
71. **B**	72. **A**	73. **D**	74. **C**	75. **C**	76. **A**	77. **A**	78. **C**	79. **D**	80. **B**
81. **A**	82. **C**	83. **B**	84. **A**	85. **D**	86. **B**	87. **B**	88. **A**	89. **A**	90. **D**
Section D: Promoting Environmental Sustainability (Q91–Q120)									
91. **C**	92. **B**	93. **D**	94. **D**	95. **B**	96. **D**	97. **B**	98. **C**	99. **A**	100. **D**
101. **C**	102. **D**	103. **B**	104. **B**	105. **A**	106. **B**	107. **D**	108. **C**	109. **A**	110. **A**
111. **C**	112. **D**	113. **C**	114. **C**	115. **D**	116. **A**	117. **C**	118. **C**	119. **A**	120. **A**
Section E: Community Engagement (Q121–Q145)									
121. **C**	122. **A**	123. **A**	124. **D**	125. **B**	126. **A**	127. **A**	128. **D**	129. **D**	130. **C**
131. **B**	132. **D**	133. **D**	134. **A**	135. **B**	136. **D**	137. **D**	138. **A**	139. **B**	140. **C**
141. **D**	142. **D**	143. **C**	144. **B**	145. **A**					
Section F: Rights in Business Conduct (Q146–Q175)									
146. **A**	147. **B**	148. **A**	149. **C**	150. **C**	151. **B**	152. **A**	153. **A**	154. **C**	155. **A**
156. **A**	157. **D**	158. **B**	159. **A**	160. **C**	161. **D**	162. **C**	163. **B**	164. **B**	165. **A**
166. **C**	167. **C**	168. **B**	169. **C**	170. **D**	171. **A**	172. **B**	173. **B**	174. **C**	175. **B**
Section G: Transparency in Business Conduct (Q176–Q200)									
176. **B**	177. **A**	178. **B**	179. **A**	180. **B**	181. **B**	182. **A**	183. **B**	184. **D**	185. **A**
186. **D**	187. **C**	188. **C**	189. **B**	190. **C**	191. **B**	192. **B**	193. **D**	194. **A**	195. **C**
196. **C**	197. **D**	198. **D**	199. **A**	200. **D**					